Rio Tinto's A$2.7b bauxite investment, as foreign buying of homes eases

> Rio Tinto will spend US$1.9 billion to expand bauxite production in Australia. New figures show foreign investment approvals for Australian housing fell 4% last financial year.

WHAT HAPPENED

- Rio's **Kangwinan bauxite project** will add 20 million tonnes of annual capacity from 2029. Rio shares fell 2.2% on the day.
- Foreign investment approvals for **residential real estate** totalled A$4.7b in 2025–26, down 4%.
- Chinese investors accounted for A$900m of these approvals, across 785 applications.
- Separately, Treasurer Chalmers says business investment could grow by more than 5% this year, **double the Budget forecast**, adding over A$50b across three years.

BY THE NUMBERS

A$2.7b
Rio's Kangwinan investment (US$1.9b)

20 Mt
extra bauxite capacity a year from 2029

A$4.7b
foreign residential approvals 2025–26, down 4%

A$900m
approvals to Chinese investors (785 applications)

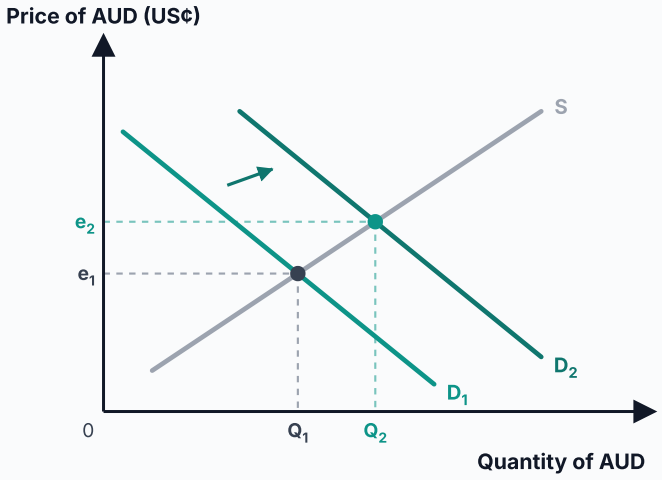
KEY TERMS

Foreign direct investment: foreign ownership of 10% or more of an Australian asset or business.

Financial account: records capital inflows and outflows, including FDI.

Productive capacity: how much the economy can produce. Investment expands it.

DIAGRAM — Foreign investment inflows and the market for AUD



When foreign investors buy Australian assets, such as housing, mines or shares, they must buy AUD. This shifts **demand from D_1 to D_2** and lifts the exchange rate from **e_1 to e_2**.

A **4% fall** in residential approvals means slightly less of this demand from the housing sector.

Exam angle: mining investment often **widens the current account deficit at first**, through imported equipment and income paid to foreign owners. Exports rise later, once the new capacity is producing.

FLOW CHART — Why investment today shapes the current account tomorrow

New mining investment → Imports of capital equipment now → Capacity grows from 2029 → Export volumes rise → **Current account improves later**

SYLLABUS LINK
TOPIC 2: foreign investment, the financial account and the links between investment, exports and the current account.

TRY THIS
Explain how foreign investment in Australia affects the balance of payments. **(4 MARKS)**

Articles: ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840